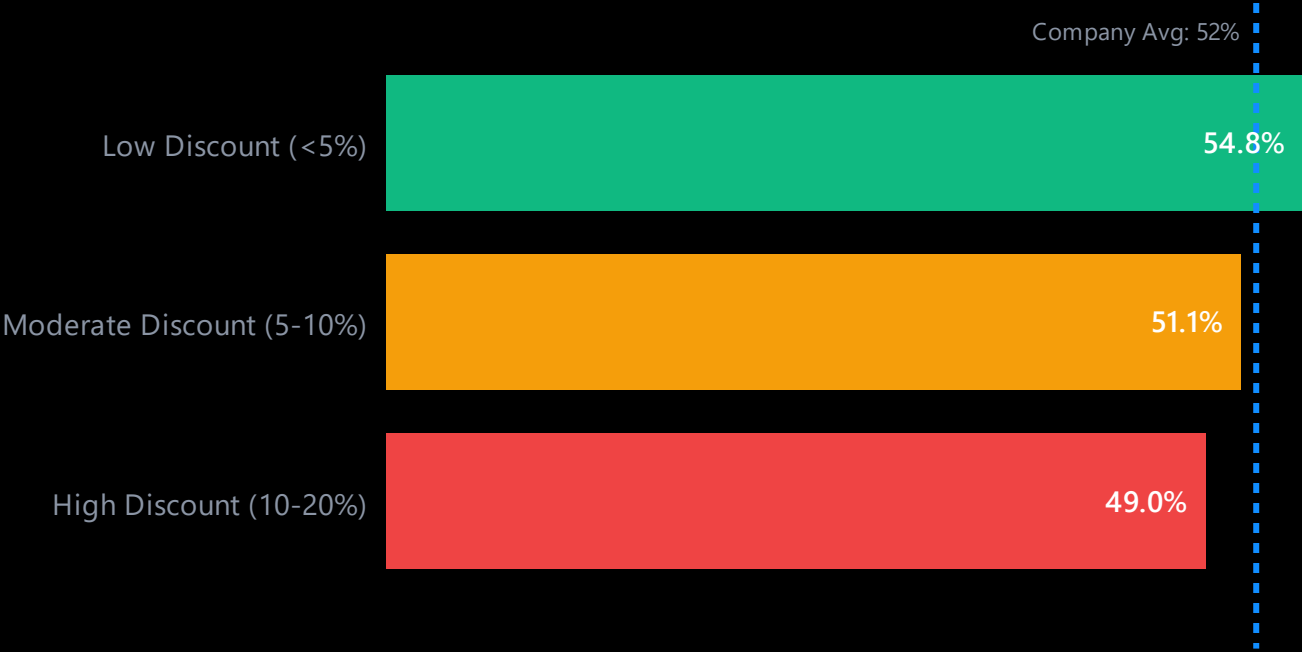


EXECUTIVE VERDICT: PRICING AUDIT

Is discounting a controlled pricing strategy or a structural profitability issue?

TOTAL REVENUE \$218.8M 223,974 order lines	AVG LINE MARGIN 52% Arithmetic mean per line	DISCOUNT PENETRATION 61% Transactions below list price	DISCOUNTED MARGIN 50.1% vs 54.9% full-price	PROFIT GAP \$97 Per discounted line
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Avg Margin % by discount_tier



Every additional discount tier reduces margin by ~2 percentage points.

The 10–20% tier contains ~80K order lines, the largest discrete discount bucket.

61% of all transactions are discounted
Discounting operates as the default pricing behavior, not a temporary promotion.

Discounted lines generate ~\$97 less profit
Volume increase does not offset the margin gap.

No material deterioration over time
The pattern is stable and structurally embedded.

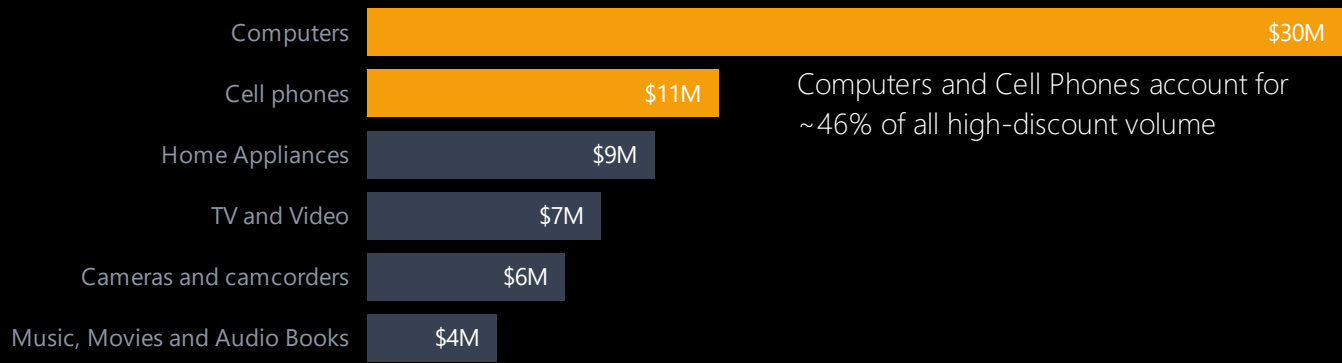
The evidence suggests discounting is not being used tactically. It functions as the operational pricing floor across the business.

WHERE THE MARGIN GOES

Which categories amplify profitability compression and why?

WHICH CATEGORIES DRIVE THE DOLLAR LOSS?

Ranked by total margin leakage (\$) under high-discount conditions



Computers and Cell Phones account for **~46%** of all high-discount volume. Their margin compression rate is normal, but their sheer transaction scale is driving the dollar leakage.

Margin drop is tightly grouped at **~3 percentage points** across almost all categories. This confirms the business operates on a standardized, systemic discounting policy rather than category-specific promotional pricing.

MARGIN COMPRESSION vs DISCOUNT DEPTH

Bubble size = Total high-discount order lines



TIER ECONOMICS

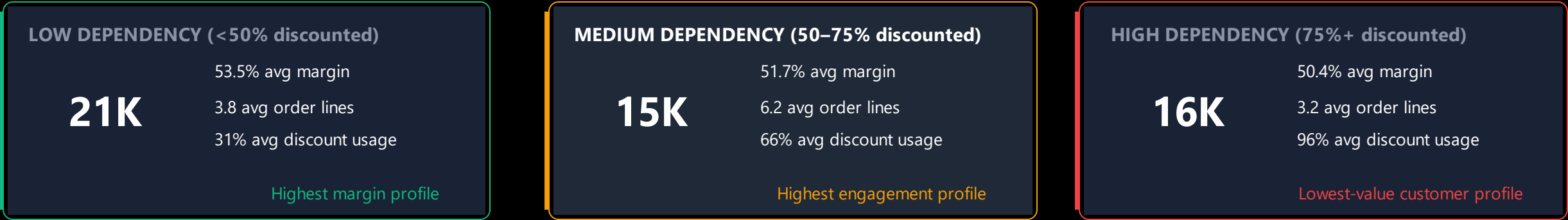
Baseline performance by discount band

Discount Tier (Sorted)	Avg Discount	Margin %	Volume
1. Low Discount (<5%)	2.5%	54%	14,008
2. Moderate Discount (5-	8.1%	51%	48,138
3. High Discount (10-20%)	12.0%	49%	74,767

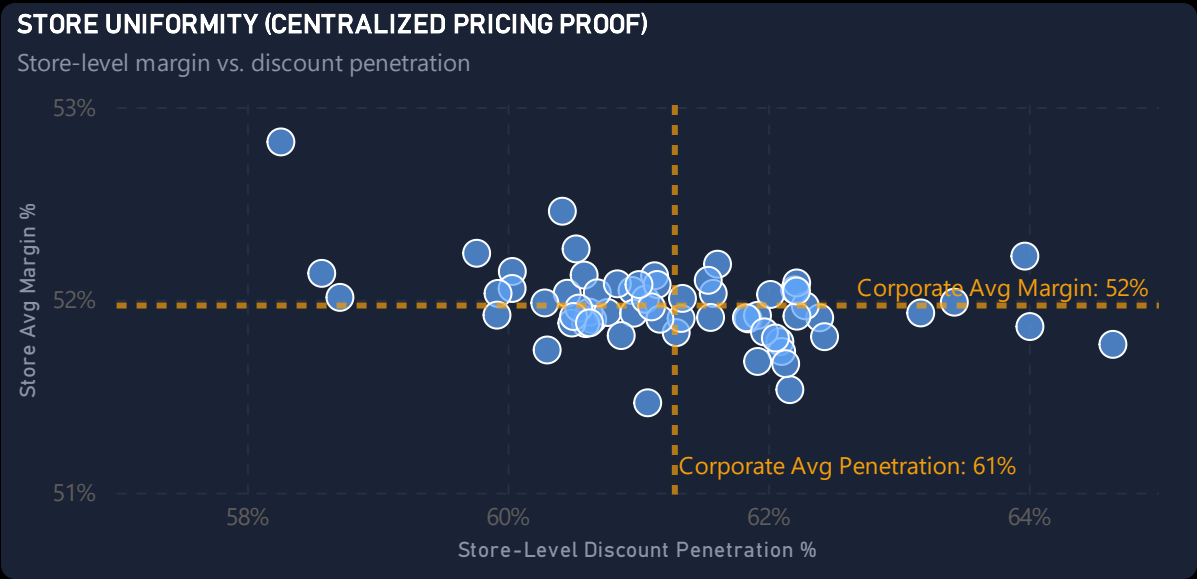
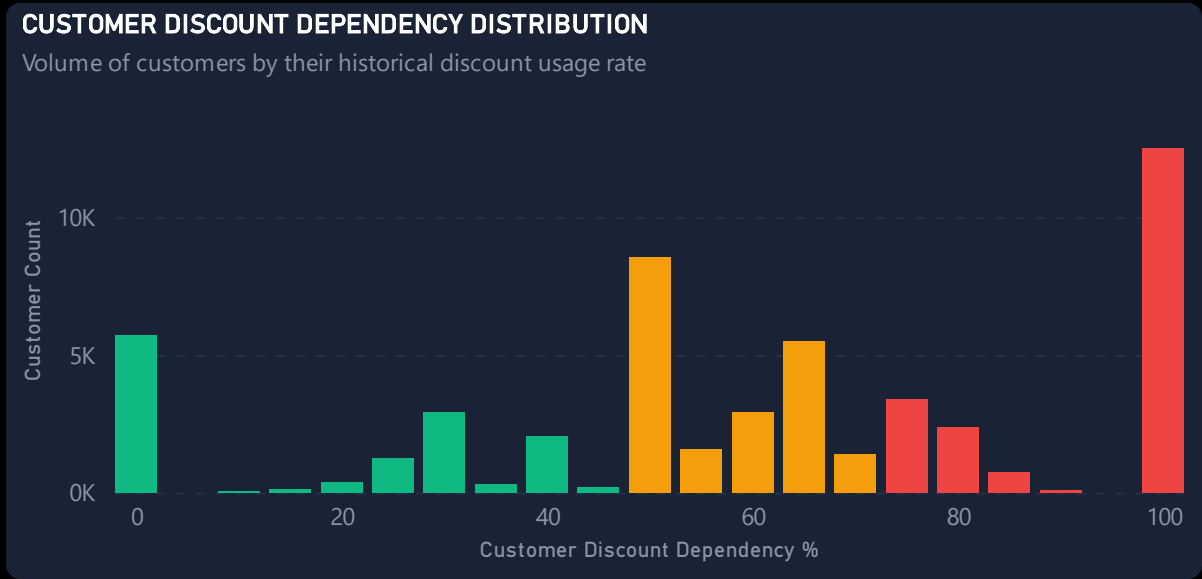
The business is not losing margin because a few categories are mispriced. It is losing margin because standard discounting is applied at massive transaction scale.

THE CUSTOMER REALITY

Has discounting changed customer behavior or become customer expectation?



Customer engagement improves up to moderate discount exposure. Beyond that point, margin continues falling while activity declines.



The evidence suggests discounting is no longer functioning as a tactical sales mechanism. It has become embedded customer expectation across the business.